

Principle of Macroeconomics ECON 2220
Spring 2022, UNO
Sample Final Exam

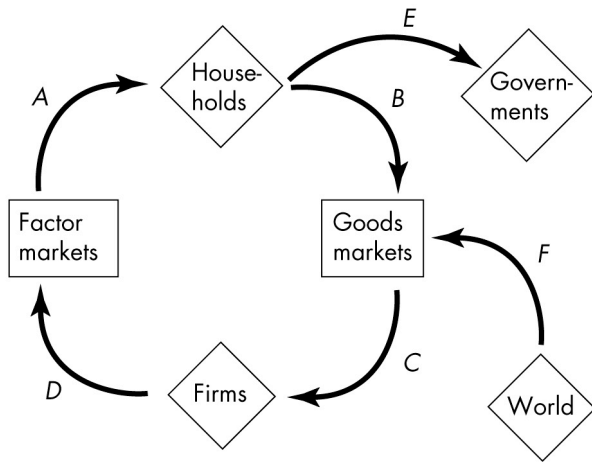
Name: _____

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MULTIPLE CHOICE. Choose the one alternative that best completes the statement or answers the question.

- 1) Real GDP measures the _____
A) total profits earned by all businesses valued using prices from a single year.
B) changes in the prices of output measured in dollars.
C) value of total production linked to prices of a single year.
D) general upward drift in prices.
- 2) Which of the following is NOT a component of the incomes approach to GDP? _____
A) wages and salaries
B) proprietors' income
C) corporate profits
D) net exports
- 3) Potential GDP is _____
A) a goal that can never be achieved by the economy.
B) the maximum GDP that an economy actually achieves throughout its entire history.
C) the maximum amount of GDP that can be produced while avoiding shortages of labor, capital, land, and entrepreneurship that would bring rising inflation.
D) the level of GDP achieved during periods when 100 percent of the labor force is employed.
- 4) As disposable income increases, there is a _____ the consumption function. _____
A) change in the slope of
B) rightward shift of
C) movement along
D) leftward shift of the
- 5) One reason the aggregate expenditure curve slopes upward is because _____ increases when real GDP increases. _____
A) government expenditure on goods and services
B) exports
C) consumption expenditure
D) investment
- 6) Equilibrium expenditure is defined as the level of aggregate expenditure where _____
A) actual aggregate expenditure equals real GDP.
B) aggregate planned expenditure equals real GDP.
C) spending equals output.
D) total inventories equal zero.
- 7) In general, the flatter the aggregate expenditure curve, the _____
A) greater the autonomous expenditure.
B) smaller the multiplier.
C) larger the multiplier.
D) larger the marginal propensity to consume.

- 8) If the federal government's tax revenues are greater than its outlays, then the federal budget has a _____ 8) _____
a
A) transfer payment. B) surplus.
C) balanced budget. D) deficit.
- 9) According to the Laffer curve, raising the tax rate 9) _____
A) always decreases the amount of tax revenue.
B) does not change the amount of tax revenue.
C) always increases the amount of tax revenue.
D) might increase, decrease, or not change the amount of tax revenue.
- 10) An increase in the income tax rate _____ employment and _____ potential GDP. 10) _____
A) decreases; increases B) decreases; decreases
C) increases; increases D) increases; decreases
- 11) Monetary policy is controlled by 11) _____
A) Congress. B) the Federal Reserve.
C) the Treasury Department. D) the president.
- 12) The Fed's goals include 12) _____
A) monetary base stability. B) maintaining a low federal funds rate.
C) open market operations. D) price level stability.
- 13) The federal funds rate is the interest rate 13) _____
A) banks charge each other on overnight loans.
B) on the 3-month Treasury bill.
C) that the Fed charges commercial banks on loans.
D) on the 30-year treasury bond.
- 14) Gross investment equals net investment plus 14) _____
A) capital.
B) dividends paid to the owners of the company.
C) depreciation.
D) capital gains.



- 15) In the above figure, consumption expenditure is shown by flow
 A) A. B) B. C) C. D) F. 15) _____
- 16) All of the following are included in gross private domestic investment expenditure EXCEPT a
 A) a retail store's purchase of shoes to add to its inventory.
 B) household's purchase of a new house.
 C) business's purchase of another company's stock.
 D) business's purchase of a fleet of cars. 16) _____
- 17) Goods that are produced this year, stored in inventories, and then sold to consumers next year
 A) are not counted as a part of GDP.
 B) count in this year's GDP.
 C) count in both this year's and next year's GDP.
 D) count in next year's GDP. 17) _____
- 18) Which of the following is not a phase or turning point of the business cycle?
 A) trough B) shutdown C) expansion D) recession 18) _____
- 19) _____ refers to a period when the _____ decreases.
 A) Productivity growth slowdown; growth rate of real GDP
 B) Productivity growth slowdown; growth rate of output per person
 C) Recession; growth rate of nominal GDP
 D) Recession; growth rate of output per person 19) _____
- 20) For movements along the short-run aggregate supply curve
 A) potential GDP remains constant. B) the real wage rate changes.
 C) the money wage rate is constant. D) All of the above are correct. 20) _____
- 21) The long-run aggregate supply (LAS) curve
 A) has a negative slope. B) is vertical.
 C) has a positive slope. D) is horizontal. 21) _____

- 22) A rise in the price level changes aggregate demand because 22) _____
- A) the more money people have, the more it is worth and hence the more goods and services they demand.
 - B) firms increase their investment when prices are higher.
 - C) the real value of people's wealth decreases and so they decrease their consumption.
 - D) the real value of people's wealth varies directly with the price level and so does their spending.

- 23) As the price level falls and other things remain the same, real wealth _____ and _____. 23) _____
- A) decreases; the quantity of real GDP demanded decreases
 - B) increases; aggregate demand increases
 - C) increases; the quantity of real GDP demanded increases
 - D) decreases; the short-run aggregate supply decreases

Component	Dollars (billion)
Personal income taxes	500
Social Security taxes	400
Corporate income taxes	150
Indirect taxes	75
Transfer payments	1,200
Expenditure on goods and services	225
Debt interest	75

- 24) The table above has data for a country's government budget. The country has government revenues of _____ billion. 24) _____
- A) \$725 B) \$2100 C) \$900 D) \$1125

- 25) All of the following are government outlays EXCEPT 25) _____
- A) expenditure on goods and services.
 - B) purchases of corporate bonds.
 - C) interest on the government's debt.
 - D) transfer payments.

- 26) If a tax cut increases people's labor supply, then 26) _____
- A) tax cuts increase potential GDP.
 - B) tax cuts cannot affect aggregate demand.
 - C) tax cuts decrease aggregate demand.
 - D) Both answers A and B are correct.

- 27) The supply side effects of a cut in tax rates include _____ in the supply of labor and _____ in the supply of loanable funds. 27) _____
- A) a decrease; an increase
 - B) a decrease; a decrease
 - C) an increase; an increase
 - D) an increase; a decrease

- 28) Suppose that the government increases taxes. One effect of this change is that it decreases 28) _____
- A) disposable income which then decreases aggregate supply.
 - B) government expenditure, which decreases aggregate demand.
 - C) disposable income, which decreases consumption expenditure and aggregate demand.
 - D) the size of the government expenditure multiplier.

- 29) A fiscal action that is triggered by the state of the economy is called 29) _____
A) generational fiscal policy. B) automatic fiscal policy.
C) discretionary fiscal policy. D) the government expenditure multiplier.
- 30) Which of the following bodies are responsible for the conduct of monetary policy? 30) _____
A) the President B) Congress
C) Congress and the President, jointly D) the Federal Reserve System
- 31) Which of the following does NOT describe a function of money? 31) _____
A) unit of account B) hedge against inflation
C) store of value D) medium of exchange
- 32) The functions of money are 32) _____
A) M1, M2 or currency.
B) interest rates, prices and output.
C) currency, deposits, and traveler's checks.
D) medium of exchange, unit of account, and store of value.
- 33) Barter is 33) _____
A) printing too much money.
B) the exchange of goods and services for any type of money.
C) another type of money.
D) the exchange of goods and services directly for other goods and services.
- 34) Money _____. 34) _____
A) is any commodity that is generally acceptable as a means of payment
B) is always composed of coins and paper
C) requires a double coincidence of wants
D) loses its value as it becomes older
- 35) U.S. currency _____. 35) _____
A) is the sum of M1 and M2
B) includes tobacco
C) is composed of the bills and coins held by individual and businesses
D) is less efficient than barter
- 36) In the United States today, money consists of 36) _____
A) currency only. B) currency and deposits at banks.
C) coins only. D) deposits at banks only.

Answer Key

Testname: FINAL_SAMPLE

- 1) C
- 2) D
- 3) C
- 4) C
- 5) C
- 6) B
- 7) B
- 8) B
- 9) D
- 10) B
- 11) B
- 12) D
- 13) A
- 14) C
- 15) B
- 16) C
- 17) B
- 18) B
- 19) B
- 20) D
- 21) B
- 22) C
- 23) C
- 24) D
- 25) B
- 26) A
- 27) C
- 28) C
- 29) B
- 30) D
- 31) B
- 32) D
- 33) D
- 34) A
- 35) C
- 36) B